Amazon's stock fell more than 90%.

> One of the century's biggest winners.

December 1999: worth 50x its IPO value.

📦 Online books

🚀 Dot-com boom

📈 50x IPO value

Then the bubble burst.

Dec 1999 — Falling begins

Mar 2000 — Nasdaq peaks

Sep 2001 — Bottom: down 90%+

The shareholder letter opened with one word:

"Ouch."

Shares down more than 80% from the prior letter

What saved it: cash raised before the crash.

$672M

convertible bonds, early 2000

The business kept growing. The stock didn't.

REVENUE 1999–2002

Up 140%+

THE STOCK

Years below its high

Most owners didn't hold on.

> A 90% drop is unbearable when it's most of your money.

It's not about picking winners. It's sizing.

Your one-stock rule:

1. A 90% drop should hurt, not ruin you
2. Know your biggest single holding
3. Broad index funds spread the risk